HIGHER LEVEL

Question 1. Sole Trader – Final Accounts

* Deduct one mark for each heading omitted from P & L A/C.
** No marks lost for order of P & L A/C, i.e. Income before or after Expenses

(a) Trading, Profit & Loss A/C of Jim Sugrue for the year ended 31/12/2019 (70)

		Working	€		€	€
	Sales			**(2)**		522,540
–	**Cost of Sales**					
	Opening Stock			**(2)**	27,500	
+	Purchases	1		**(7)**	319,220	
					346,720	
-	Closing Stock	2		**(6)**	(48,070)	
	Cost of Sales					298,650
	Gross Profit					223,890
**	**Other Income**					
***	Profit on Disposal /Dis Rec	3		**(6)**	300	
	Investment Interest	4		**(3)**	3,000	
	Rent			**(3)**	5,500	8,800
	Total Income					232,690
*	**Administration Expenses**					
	Salaries & General Expenses		79,340	**(3)**		
	Insurance		12,800	**(3)**		
	Depreciation on Buildings	5	8,265	**(4)**		
	Depreciation on Office Equipment	6	2,200	**(4)**		
	Loss on Damaged Stock	7	500	**(4)**		
	Patent written-off	8	8,000	**(4)**	111,105	
*	**Selling & Distribution Expenses**					
***	Discount Allowed		790	**(3)**		
	Depreciation on Vans	9	16,950	**(4)**		
	Loss on Disposal of Delivery Van	10	75	**(3)**		
	Commission		8,950	**(3)**	26,765	
	Financial Expenses					
	Mortgage Interest	11	15,200	**(4)**	15,200	
	Total Expenses					(153,070)
	Net Profit			*correct figure only*		**79,620 (2)**

*** *Profit on Disposal/Discount Received*
Full 9 marks to be awarded if only figure is Discount Allowed is €490, i.e. €790 – €300.

(b) Balance Sheet of Jim Sugrue as at 31/12/2019 **(50)**

		Working	€		€		€
	Intangible Assets						
	Patent	8					48,000 **(3)**
	Tangible Fixed Assets		**Cost**	**Acc Dep**	**NBV**		
	Buildings	12	500,000	0	500,000		**(3)**
	Delivery Vans	13	116,000	50,525	65,475		**(7)**
	Office Equipment	14	11,000	10,400	600		**(5)**
			627,000	60,925	566,075		566,075
	Financial Assets						
	6% Investments						100,000 **(2)**
							714,075
	Current Assets						
	Debtors	15	56,140	**(2)**			
-	Provision for Bad Debts		(2,950)	**(1)**	53,190		
	Stock	2			48,070	*accept own figure*	**(1)**
	Investment Interest due	4			1,500		**(2)**
	Insurance Compensation due				4,000		**(3)**
	VAT	16			11,250		**(2)**
					118,010		
	Less Creditors: (amounts falling due within 1 year)						
	Creditors	17	**(4)**	46,870			
	Bank Overdraft		**(2)**	32,130			
	PAYE/PRSI/USC		**(2)**	7,650			
	Mortgage Interest due	11	**(2)**	11,600	(98,250)		
	Working Capital						19,760
	Total Net Assets						733,835
	FINANCED BY:						
	Creditors: (amounts falling due after 1 year)						
	8% Fixed Mortgage						220,000 **(2)**
	Capital				308,660	**(2)**	
	Revaluation Reserve	18			153,815	**(2)**	
add	Net Profit				79,620	*accept own figure*	**(1)**
					542,095		
less	Drawings	19			(28,260)		513,835 **(2)**
	Capital Employed						733,835

Workings

Breakdown of individual marking scheme:
Penalise 1 mark for the omission of two headings in the Profit & Loss Account and Revaluation Reserve after Net Profit in Balance Sheet.

				€
1.	*Purchases*	347,500 – 2,880 – 22,000 – 4,500 + 5,600 – 4,500	**2+1+1+1+1+1(7)**	319,220
2.	*Closing Stock*	45,350 – 2,880 + 5,600	**2+2+2(6)**	48,070
3.	*Profit on Disposal of Equipment/ Discount Received*	4,000 – 800 – 3,500	**2+2+2(6)**	300
4.	*Investment Interest*	100,000 × 6% × 6/12	**3(3)**	3,000
	Investment Interest due	3,000 – 1,500	**1+1(2)**	1,500
5.	*Depreciation on Buildings*	(420,000 – 6,750) × 2%	**1+1+2(4)**	8,265
6.	*Depreciation on Office Equipment*	(15,000 – 4,000) × 20%	**1+1+2(4)**	2,200
7.	*Loss on Damaged Stock*	4,500 – 4,000	**2+2(4)**	500
8.	*Patent write-off*	(54,500 + 1,500) = 56,000/7	**1+1+2(4)**	8,000
	Patents	56,000 – 8,000	**1+1+1(3)**	48,000
9.	*Depreciation on Vans*	(110,000 × 15% × 6/12) + (116,000 × 15% × 6/12)	**2+2(4)**	16,950
10.	*Loss on Disposal D. Van*	26,000 – 15,925 – 10,000	**1+1+1(3)**	75
11.	*Mortgage Interest*	(180,000x8%) + (40,000x8%x3/12)	**2+2(4)**	15,200
	Mortgage Interest due	15,200 – 3,600 (i.e. 3,750 – 150)	**1+1(2)**	11,600
12.	*Buildings*	420,000 – 6,750 + 86,750	**1+1+1(3)**	500,000
13.	*Delivery Vans*	110,000+22,000+10,000-26,000	**1+1+1+1(4)**	116,000
	Accum Deprec. on Del. Vans	49,500+16,950-15,925	**1+1+1(3)**	50,525
14.	*Office Equipment*	15,000 – 4,000	**1+1(2)**	11,000
	Accum Deprec. On Office Equip.	9,000 + 2,200 – 800	**1+1+1(3)**	10,400
15.	*Debtors*	56,390 – 250	**1+1(2)**	56,140
16.	*VAT*	4500 + 6,750	**1+1(2)**	11,250
17.	*Creditors*	47,650 – 2,880 + 5,600 – 3,500	**1+1+1+1(4)**	46,870
18.	*Revaluation Reserve*	86,750 + 67,065	**1+1(2)**	153,815
19.	*Drawings*	23,760 + 4,500	**1+1(2)**	28,260

Workings – Sole Trader
Workings in T account format

1.	**Closing Stock**:	Initial value 31/12		45,350
		less 'Sale or Return'	(i)	–2,880
		add Goods 'in Transit'	(ix)	5,600
				48,070

Purchases A/C

B/D	347,500	Crs	2,880
		C/D	344,620
	347,500		347,500
B/D	344,620	> *note 2*	

Creditors A/C

Purchases	2,880	B/D	47,650
C/D	44,770		
	47,650		47,650
		B/D	44,770
			> *note 9*

2. Dep on Vans @ 15%.

Delivery Van A/C

	B/D	110,000	Disposal	26,000
****	**Bank**	**22,000**		
	Trade In	10,000	C/D	116,000
		142,000		142,000
	B/D	116,000		

Provision for Depreciation A/C

Disposal	15,925	B/D		49,500
C/D	50,525	P & L	*	16,950
	66,450			66,450
		B/D		50,525

Disposal A/C

Van	26,000	Deprec.	***	15,925
		Trade In		10,000
		Loss to P/L		75
	26,000			26,000

***

26,000 × 15% = 3,900 *

Yr	**months**	**dep**	**P & L Charge for 2019 ***	
2015	7	2,275	26,000 × 15% × 6/12 =	1,950
2016	12	3,900	32,000 × 15% × 6/12 =	2,400
2017	12	3,900	84,000 × 15% =	12,600
2018	12	3,900		16,950
2019	6	1,950		
		15,925		

Purchases A/C

B/D	344,620	**Van error**	**22,000** ****
		C/D	322,620
	344,620		344,620
B/D	322,620	> *note 8*	

3.

Suspense A/C

Drs error	**250**	Balance B/D	400
Mortgage Interest error	**150**	C/D	
	400		400

Discount A/C

B/D	790	OK	

Mortgage Interest A/C

B/D	3,750	Suspense (Mortg. Int)	150
		C/D **	3,600
	3,750		3,750
B/D	3,600	> *note 7*	

Debtors A/C

B/D	56,390	Suspense (Disc All'd)	250
		C/D	56,140
	56,390		56,390
B/D	56,140		

*** Mortgage Interest for first three months: 180,000 × 8% × 3/12 = 3,600*

4. Patents

Patents A/C

B/D	54,500	P & L	8,000 (56,000 W/O over 7 years)
Inv. Income Error	1,500	C/D	48,000
	56,000		56,000
B/D	48,000		

Investment Income A/C

		Patents Error	1,500 (100,000 × 6%x 3/12)
		> *note 7*	

5. Warehouse

Buildings A/C

B/D	420,000	1/1 Vat Error	6,750
		C/D	413,250
	420,000		420,000
B/D	413,250		

VAT A/C

B/D	4,500		
Buildings	6,750	C/D	11,250
	11,250		11,250
B/D	11,250		

6.

Buildings A/C

B/D	413,250		
Reval. Res	86,750	C/D	500,000
	500,000		500,000
B/D	500,000		

Provision for Depreciation A/C

Reval. Res	67,065	B/D	58,800
Bal C/D	0	P & L 413,250 × 2%	8,265
	67,065		67,065
		B/D	0

Revaluation Reserve A/C

		31/12 Bldgs	86,750
C/D	153,815	Depreciation	67,065
	153,815		153,815
		B/D	153,815

7.

Mortgage Interest A/C

B/D	3,600	P & L **	15,200
C/D	11,600		
	15,200		15,200
		B/D	11,600

**	180,000 × 8% =	14,400
	40,000 × 8% × 3/12 =	800
		15,200

Investment Interest A/C

* P & L	3,000	B/D	1,500
* (100,000 × 6% × 6/12)		C/D	1,500
	3,000		3,000
B/D	1,500		

8. **Drawings**: 5,400 × 100/120 = 4,500

Purchases A/C

B/D	322,620	Drawings	4,500
		C/D	318,120
	322,620		322,620
B/D	318,120	*> note 9*	

Drawings A/C

B/D	23,760		
Purchases	4,500	C/D	28,260
	28,260		28,260
B/D	28,260		

9. **Goods-in-Transit**

Purchases A/C

B/D	318,120		
Transit	5,600	C/D	323,720
	323,720		323,720
B/D	323,720	*> note 10*	

Creditors A/C

		B/D	44,770	
C/D	50,370	Transit	5,600	
	50,370		50,370	
		B/D	50,370	*> Note 11*

10. Damaged Stock

Purchases A/C

B/D	323,720	Damaged Stock	4,500
		C/D	319,220
	323,720		323,720
B/D	319,220		

Damaged Stock A/C

Purchases	4,500	Insurance due	4,000
		Loss P/L	500
	4,500		4,500

Insurance Compensation due A/C

Damaged Stock	4,000		

11. Disposal of Office Equipment

Office Equipment A/C

B/D	15,000	Disposal	4,000
		C/D	11,000
	15,000		15,000
B/D	11,000		

Provision for Depreciation A/C

Disposal	800	B/D	9,000
C/D	10,400	P&L	2,200
	11,200		11,200
		B/D	10,400

Disposal of Equipment A/C

Equipment	4,000	Depreciation	800
Profit to P&L	300	Creditors	3,500
	4,300		4,300

Creditors A/C

Disposal of Equip	3,500	B/D	50,370
C/D	46,870		
	50,370		50,370
		B/D	46,870

Question 2. Depreciation of Fixed Assets

(a) **Truck A/C** **(8)**

01/01/18	Balance b/d	**(2)**	184,600	30/09/18	Disposal	**(1)**	59,600
30/09/18	Trade In	**(1)**	16,000				
30/09/18	Bank	**(1)**	59,000	31/12/18	Balance c/d		200,000
			259,600				259,600
01/01/19	Balance b/d		200,000	01/12/19	Disposal	**(1)**	70,000
01/12/19	Trade In	**(1)**	26,000				
01/12/19	Bank	**(1)**	56,000	31/12/19	Balance c/d		212,000
			282,000				282,000
31/01/20	Balance b/d		212,000				

(b) **Provision for Depreciation A/C** **(29)**

30/09/18	Disposal	**(3)** *	46,170	01/01/18	Balance b/d	**(8)**	71,010
31/12/18	Balance c/d		59,625	31/12/18	P & L	**(6)**	34,785
			105,795				105,795
01/12/19	Disposal	**(3)** *	31,500	01/01/19	Balance b/d		59,625
31/12/19	Balance c/d **	**(3)**	64,305	31/12/19	P & L	**(6)**	36,180
			95,805				95,805
				01/01/20	Balance b/d		64,305

** Accept correct figure only*
*** Allow 2 marks for student's own figure*

(c) **Disposal A/C** **(14)**

30/09/18	Truck 1	**(1)**	59,600	30/09/18	Deprec.	**(2)**	46,170	***
31/12/18	Profit to P/L	**(2)**	*** 2,570	30/09/18	Trade In	**(2)**	16,000	
			62,170				62,170	
01/12/19	Truck 3	**(1)**	70,000	01/12/19	Deprec.	**(2)**	31,500	***
				01/12/19	Trade In	**(2)**	26,000	
				31/12/19	Loss to P/L	**(2)**	12,500	***
			70,000				70,000	

**** Allow student's own figure*

Workings

Schedule of Fixed Assets

***** Dep to

Asset	Time(yrs)	Cost	Dep pa	Date			Dep'18	Dep'19	Total
Truck 1	3 6/12	50,000	9,000	31,500	**(2)**	**(1)**	6,750	NA	38,250
+ Refrig	2	9,600	2,880	5,760	**(2)**	**(1)**	2,160	NA	7,920 **46,170**
Truck 2	2 8/12	55,000	9,900	26,400	**(2)**	**(1)**	9,900	9,900 **(1)**	
Truck 3	7/12	70,000	12,600	7,350	**(2)**	**(1)**	12,600	11,550 **(1)**	31,500
		184,600							
Truck 4	30/09/18	75,000	13,500	NA		**(2)**	3,375	13,500 **(1)**	
Truck 5	01/12/19	82,000	14,760	NA				1,230 **(2)**	
				71,010			**34,785**	**36,180**	

***** *50,000 × 90% = 45,000 / 5 years = 9,000 p.a.*
55,000 × 90% = 49,500 / 5 years = 9,900 p.a.etc. etc.

(d) Profit & Loss Account for year ended 31/12/2019 (extract) **(9)**

		€	€
Expenses			
Depreciation on trucks	**(2)**	36,180	***
Loss on Disposal of truck	**(2)**	12,500	***
Service of Truck	**(1)**	5,500	

Balance Sheet as at 31/12/2019 (extract)

	€	€	€
Fixed Assets	**Cost**	**Depr.**	**NBV**
Trucks	212,000 **(2)**	64,305 **(2)**	147,695
	***	***	

*** Allow student's own figure, if consistent with previous work

Question 3. Incomplete Records

(a) Balance Sheet of John Burgess as at 31/12/2019 **(52)**

		€		€		€		
Intangible Assets								
Goodwill (W1)							24,775	**(4)**
Fixed Assets		Cost		Dep		NBV		
Premises (W3)		470,000	**(1)**	85,000	**(1)**	385,000		
Equipment (W8)		14,400	**(1)**	1,800	**(1)**	12,600		
		484,400		86,800			397,600	
Financial Assets								
1.5% Investments							40,000	**(2)**
							462,375	
Current Assets								
Debtors	(W10)			64,320	**(2)**			
Stock	(W11)			49,000	**(3)**			
Bank	(W2)			135,510	**(5)**			
Investment Interest due	(W5)			250	**(2)**			
Rent prepaid	(W9)			625	**(2)**	249,705		
Less Creditors (amounts due within 1 year)								
Creditors	(W12)			12,900	**(3)**			
Electricity due	(W4)			270	**(2)**			
Loan Instalment due				20,000	**(3)**			
Loan Interest due	(W6)			2,600	**(2)**	(35,770)		
Working Capital							213,935	
Total Net Assets							676,310	**
Financed By:								
Creditors (amounts falling due after 1 year)								
Loan							280,000	**(3)**
Capital 01/01/2019						400,000	**(2)**	
+ Introduction						50,000	**(3)**	
						450,000		
+ Net Profit (Loss)	****					(34,440)	**(2)**	
						415,560		
– Drawings	(W10)					(19,250)	**(8)**	396,310
Capital Employed							676,310	**

** *Capital Employed is taken from Total Net Assets*

**** *Correct figure only*

(b) Fundamental Accounting Principles **(8)**

(i) **Prudence**, i.e. caution should be exercised when preparing accounts. One should anticipate no revenue/gains until realised or there is reasonable certainty of realising them.
All losses/expenses should be provided for when there is a reasonable possibility of incurring them.
(4 × 1 mark) **(4)**

(ii) **Going Concern**, i.e. that accounts should be prepared on the basis that the business will continue for the foreseeable future.
It is assumed that the business for which the accounts are being prepared is solvent and viable.
(4 × 1 mark) **(4)**

Workings

1. Goodwill

	€	€	
Assets			
Premises	220,000		
Stock	11,000		
Debtors	10,400		
Rent prepaid	510		
Stock of heating oil	360		
Stock of stationery	210		
1.5% Investments	40,000	282,480	
Liabilities			
Creditors	6,750		
Light & heat due	505	–7,255	
		275,225	
Paid		300,000	
Goodwill		**24,775**	BS **(4)** *

** 1 mark: 3 correct figures;*
2 marks: 6 correct figures;
3 marks: 9 correct figures;
4 marks: final figure.

2. Bank A/C

Capital	400,000	Business	300,000
Loan	300,000	Premises	250,000
Gift	50,000	L & H	5,300
Inv. Interest	350	Interest	3,900
		Wages & Gen Exps	21,400
		Equipment	18,000
		Rent	2,500
		College Fees	5,000
		Drawings Fuel	2,500
		Drawings Household	6,240
		Balance c/d	135,510
	750,350		750,350

Bal b/d 135,510 **(5)** BS **

*** 1 mark: 4 correct figures*
2 marks: 8 correct figures;
3 marks: 11 correct figures
4 marks: 14 (all) correct figures
5 marks: correct balance

3. Premises

Cost 01/01	220,000	
+ Bank	250,000	**(1)**
	470,000	
Value 31/12	385,000	**(1)** BS
Depreciation	85,000	BS

4. Light & Heat

Bank	5,300	
– due 01/01	–505	
+ Stock 01/01	360	
+ due 31/12	270	**(2)** BS
Used	5,425	
– Drawings 20%	–1,085	**(2)** BS
	4,340	

5. Investment Interest

Received	350	
Due 31/12	250	**(2)** BS
Receivable (40,000 × 1.5%)	600	

6. Interest

Bank	3,900	
+ due @ 31/12	2,600	**(2)** BS
Payable (300,000 × 6.5% × 4/12)	6,500	
– Drawings 25%	–1,625	**(2)** BS
	4,875	

7. Wages & General Expenses

Bank	21,400	
+ Stock of Stationery 01/01	210	
	21,610	

8. Equipment

Bank	18,000	**(1)**
– Drawings 20%	–3,600	**(1)**
	14,400	
– Depreciation 12.5%	–1,800	**(1)**
	12,600	**BS**

9. Rent

Bank	2,500	
+ prepaid 01/01	510	
	3,010	
– prepaid 31/12 (2,500 × 3/12)	–625	**(2)** BS
	2,385	

10. Drawings

Stock (350 × 12)	4,200	**(1)**
Cash (120 × 52)	6,240	**(1)**
L & H	1,085	**(2)**
Interest	1,625	**(2)**
Equipment	3,600	**(1)**
Bank – Fuel	2,500	**(1)**
Total	19,250	BS

11. Debtors

Balance 31/12	67,000	**(1)**
less provision 4%	–2,680	**(1)**
	64,320	BS

12. Goods purchased on 'Sale or Return'

*	Stock	51,400	**(1)**
	– Sale or Return	–2,400	**(2)**
		49,000	BS
*	Creditors	15,300	**(1)**
	– Sale or Return	–2,400	**(2)**
		12,900	BS

Question 4. Farm Accounts

Mike & Breda Casey

(a) Statement of Capital at 01/01/2019 **(18)**

Assets		€		€		
Land & Buildings		400,000	**(1)**			
Machinery		150,000	**(1)**			
Cattle		21,000	**(1)**			
Sheep		14,000	**(1)**			
Milk Cheque due		1,200	**(1)**			
Stock of Fuel		585	**(1)**			
Stock of Fertiliser		1,200	**(1)**			
2% Investments	W1	28,800	**(2)**			
Mart cheque due		1,650	**(1)**	618,435		
Liabilities						
Electricity due		270	**(1)**			
Bank overdraft		2,500	**(1)**			
Loan	W2	30,000	**(2)**			
Loan Interest due	W2	1,350	**(2)**	(34,120)		
Capital @ 01/01/2019				**584,315**	**(2)**	**

*** Accept correct figure only*

(b) Enterprise Analysis Accounts for the year ended 31/12/2019 **(20)**

			€		€	
			Cattle & Milk		**Sheep**	
Income & Closing Stock						
Closing Stock			20,000	<**(1)**>	18,000	***
Sales:	Cattle	W4	16,350	**(1)**		
	Milk	W3	32,300	**(2)**		
	Sheep			**(1)**	14,000	
	Lambs			**(1)**	11,500	
Ewe Premium				**(1)**	10,500	
Beef Premium			7,500	**(1)**		
Drawings			1,240	<**(2)**>	310	
			77,390		54,310	
Expenses & Opening Stock						
Opening Stock			21,000	<**(1)**>	14,000	***
Purchases:	Cattle		19,500	**(1)**		
	Sheep			**(1)**	15,000	
Dairy Wages			7,500	**(1)**		
Fertiliser		W5	3,030	<**(2)**>	1,010	
General Farm Exps		W6	5,775	<**(2)**>	1,925	
Vet's Fees		W7	2,505	<**(2)**>	835	
			59,310		32,770	
Gross Profit			**18,080**		**21,540**	

*** May include Stock difference as one figure*

<**(1)**> implies 1 mark in total for both, i.e. ½ mark each, etc.
<**(2)**> implies 2 marks in total, i.e. 1 mark each, etc.

(c) General Profit & Loss Account for year ended 31/12/2019 **(13)**

		€		€
Income:				
Gross Profit: Cattle & Milk		18,080		
Sheep		21,540		
Investment Interest	W1	576	**(1)**	
Forestry Premium		2,500	**(1)**	
	Total Income			42,696
Expenses:				
Light & Heat	W8	2,488	**(2)**	
Loan Interest	W11	1,080	**(1)**	
Depreciation	W10	19,440	**(2)**	
Repairs	W9	3,600	**(2)**	
Bank Charges	W12	200	**(2)**	
Insurance	W13	1,500	**(2)**	
	Total Expenses			(28,308)
	Net Profit			14,388

Note: *Penalty of -2 marks applied if students enter Inheritance as Income.*

(d) **Drawings A/C** **(5)**

Lamb		310	Capital	**(1)**	19,412
Beef		1,240	*accept student's own figure*		
Interest	**(½)**	270			
Health Insurance	**(½)**	760			
Bank	**(½)**	10,400			
L & H	**(½)**	622			
Repairs	**(½)**	900			
Depreciation – Machinery	**(½)**	4,860			
Bank Charges	**(1)**	50			
		19,412			19,412

(e) Advantages to Casey's of preparing Enterprise Analysis accounts **(4)**

* The Casey's can establish which farm activities are contributing best to the overall profit of the farm and which are not. **(1)**
  Any activities that are not making profits can be dispensed with. In this case both Cattle/Milk and Sheep are contributing to the overall profitability of the farm. **(1)**
  and any one of (or other suitable comment): **(2)**
* This information facilitates better planning and aids decision making as how to how to use farm resources efficiently.

* Enterprise Analysis accounts allows costs/incomes to be allocated to the relevant activities within the farm.

Workings:

1.	**Investment Interest** = 336.	7 mths = 336 > 12 mths = 336 × 12/7 = **576 P&L** > Inv Int due = 240	
	2% Investments = 576 / 2% =	**28,800**	
2.	**Loan + Interest** = 32,700 > 109% = 32,700 > Loan (100%) = 32,700 × 100/109 =	**30,000**	
	Loan Interest due @ 01/01 = 2,700 × 9/18 =	**1,350**	
3.	**Milk Sales** = 32,000 – 1,200 + 1500 =	**32,300**	
4.	**Cattle Sales** = 18,000 – 1,650	**16,350**	
5.	**Fertiliser** = 4,100 + 1,200 + 400 – 1,660 =	**4,040**	75% = 3,030 25% = 1,010
6.	**General Farm Exps**	**7,700**	75% = 5,775 25% = 1,925
7.	**Vet's Fees**	4,100	
	– Health Insurance	– 760	
		3,340	75% = 2,505 25% = 835
8.	**L & H** 3,145 + 585 – 270 – 350 =	3,110	
	– Drawings (20%)	– 622	
		2,488	
9.	**Repairs**	4,500	
	– Drawings (20%)	– 900	
		3,600	
10.	**Depreciation** = 162,000 × 15% =	24,300	
	– Drawings (20%)	– 4,860	
		19,440	
11.	**Loan Interest** =	1,350	
	– Drawings (20%)	– 270	
		1,080	
12.	**Bank Charges**	250	
	– Drawings (20%)	– 50	
		200	
13.	**Insurance**	6,000	
	– Prepaid 31/12 (9/12)	– 4,500	
		1,500	

Question 5. Interpretation of Accounts

(a) **(50)**

(i) Cash Purchases **(12)**

Creditors Days = $\frac{\text{Creditors} \times 12}{\text{Credit Purchases}}$ **(2)**

$\frac{74{,}000 \times 12}{X} = 1.5$ **(3)**

1.5X = 888,000

Credit Purchases X = 592,000 **(2)**

Total Purchases: Cost of Sales + CS – OS **(3)**
694,000 + 74,000 – 50,000
= 718,000

Cash Purchases = 718,000 – 592,000
= € **126,000** **(2)**

(ii) Earnings per Ordinary Share **(10)**

$= \frac{\text{Earnings}}{\text{No. of Ordinary Shares}} = \frac{158{,}000}{800{,}000}$ = 0.1975 **(3)**
(3) **(3)** = 19.75c **(1)**

(iii) Dividend Cover on Ordinary Shares **(8)**

$= \frac{\text{Earnings}}{\text{Ordinary Dividends}} = \frac{158{,}000}{26{,}000}$ = 6.076 **(2)**
(3) **(2)** = 6.08 times **(1)**

(vi) Rate of Stock Turnover **(10)**

$= \frac{\text{Cost of Sales}}{\text{Average Stock}} = \frac{694{,}000}{½(50{,}000 + 74{,}000)}$ **(3)**
(3)

$= \frac{694{,}000}{62{,}000}$ = 11.193 **(3)**
= **11.19 times** **(1)**

(v) Recovery of value one ordinary share at present payout rate **(10)**

Recovery = $\frac{\text{Market Value}}{\text{Ordinary Dividend per Share}}$ **(2)**

= $\frac{148}{3.25}$ **(2)** = 45.538 **(1)**
= **45.54 years** **(1)**

Dividend per share = $\frac{\text{Ordinary Dividends}}{\text{No. Ordinary shares}}$
(2)

= $\frac{26{,}000}{800{,}000}$ = 0.0325
= **3.25c** **(2)**

Note: * *Full marks awarded for correct answer even if no workings or incorrect workings shown.*
** *Figures in brackets show breakdown of marks if answer incorrect.*

(b) Debenture holder – would they be satisfied? (40)

Seven points required and must cover first five headings.

I have analysed Lowry plc under the following headings:

Profitability (7) (Performance)
The Return on capital employed has increased from 12.4% in 2018 to 13.32% in 2019 **(1)**.
The trend **(1)** is satisfactory and 13.32% is well above the return from risk-free investments of around 1% **(2)** and is also above current lending rates of 9% **(1)**. Debenture holders should be satisfied.

Earnings per share has increased from 16c in 2018 to 19.75c in 2019 **(1)**. The trend is positive and indicates that Lowry's earning capacity **(1)** has improved substantially.
A debenture holder would be assured that with such a strong performance compared to last year that Lowry plc would be able to repay loans along with interest in the future.

Investment/Dividend Policy (4) (Performance)

Dividend cover has increased from 1.28 times in 2018 to 6.08 times in 2019 **(1)**. 6.08 times appears quite high and would indicate that Lowry plc is paying out a small portion of its profits in the form of dividends to shareholders and retaining most of it in the company **(2)**.
This would suggest that the company is planning for the future and debenture holders would satisfied that the company is being strategically managed **(1)**.

Liquidity (6) (State of Affairs)
The Quick ratio has dissimproved from 1.1:1 in 2018 to 0.62:1 in 2019 **(1)**. The trend is a concern as 0.62:1 is below the accepted standard of 1:1, which would indicate that Lowry plc may have a liquidity problem **(1)**, i.e. finding it difficult to pay its ongoing debts **(1)**.
Presently, for every €1 it owes on the short term it has 62c in liquid assets to repay the short-term debt **(2)**. A debenture holder would be concerned that Lowry plc is carrying on a level of trade which its working capital is unable to sustain **(1)**.

Gearing (8) (State of Affairs)
Capital gearing has decreased from 43% in 2018 to 38.81% in 2019 **(1)**. The trend is satisfactory and as Lowry plc is lowly geared it would be deemed a less-risky **(1)** investment with most of its long term finance coming from equity shareholders **(1)**. This would mean that a greater portion of its profits **(1)** would be available to be paid out to shareholders in the form of dividends. Debenture holders (and shareholders) should be satisfied.

Interest cover has decreased from 6 times in 2018 to 5.72 times in 2019 **(1)**. There is a slight decrease in trend but the company still appears to be making ample profits to cover the loan interest payments **(1)**. Debenture holders would be satisfied with Lowry as it should have no difficulty servicing its debts **(2)**.

** *Allow marks within commentary provided it is consistent with student's own figure(s)*

Sector (4) **(Prospects)**

Lowry plc is a manufacturer in the golf clothing industry **(1)**. While golf is still seen as an elite sport in Ireland, golf clothing is still very popular, fashionable and of good quality **(1)**. It does tend to be quite expensive when compared to other clothes lines.

In the short-term there should be a strong demand for golf clothes following on from the successes of Irish golfers on the international stage **(1)**.

In the longer term it may be difficult to continue competing with the big brand companies such as Adidas, Nike, Glenmuir, etc **(1)**.

*** *First one of next 3 headings below and any one of remaining two gain 3 marks each, 7 in total.*

*** **Fixed Assets/Security (4)**

Tangible fixed assets are valued at €1,050,000 in the balance sheet **(1)**. Debenture holders would be interested to know if this figure represents their true value and if depreciation has been accounted for **(1)**. However, there does appear to be ample security **(1)** to cover the present debentures of €400,000 which are due to be repaid by 2024/2025 **(1)**. Debenture holders would be pleased with this.

*** **Investments (3)**

Investments which cost the company €250,000 now have a market value of €270,000 **(1)**.

Debenture holders would be satisfied and have confidence in the management of the company with their investment decision-making **(2)**.

*** **Intangible Assets (3)**

Intangible assets are valued at €200,000 in the balance sheet **(1)**. Debenture holders would be interested to know what this figure actually represents, i.e. Goodwill or maybe a Patent/Design/ Trademark which would have a transferable value **(2)**.

Conclusion (4)

Though there is a slight concern over liquidity **(1)** the debenture holders would be satisfied with the performance, state of affairs and prospects of Lowry plc **(3)**.

*** *Other answers are also acceptable provided they are supported with relevant information ( )*
Breakdown of marks/figures given in brackets.
No marks awarded for paragraph on market (share) price.

Workings			**2019**		**2018**
Gross Profit			391,000		
Operating Profit		391,000 – 185,000	206,000		
Earnings		170,000 – 12,000 (i.e. 200,000 × 6%)	158,000		
Ordinary Dividends		38,000 – 12,000	26,000		
No. Ordinary Shares			800,000		
ROCE	$\frac{206,000}{1,546,000}$	× 100%	13.32%		12.40%
Quick Ratio	$\frac{120,000 - 74,000}{74,000}$		0.62 : 1		1.1 : 1
Capital Gearing	$\frac{600,000}{1,546,000}$	× 100%	38.81%		43%
Interest Cover	$\frac{206,000}{36,000}$		5.72 times		6 times
EPS			19.75c		16c
DPS			3.25c		12.5c
Dividend Cover			6.08 times		1.28 times
P/E Ratio	$\frac{148}{19.75}$		7.49 years	$\frac{125}{16}$	7.81 years

(c) Phairwear **(10)**

The Return on Capital Employed in Phairwear is 15.2%. This is significantly greater than Greenewear at 6.20% and also higher than Lowry plc at 13.32%. **(1)**
The current ratio of 1.9:1 is about ideal when compared to the accepted norm of 2:1 which, including stock figures, indicates that Phairwear is well-able to pay its ongoing debts.
The quick ratio of 0.65:1 is quite low when compared to the accepted norm of 1:1, and is also below that of Greenewear and Lowry plc. This would indicate a liquidity problem and that a lot of its working capital is tied up in stock. **(2)**

Greenewear

The Return on Capital Employed is 6.2%. This is well-below Phairwear and also below Lowry plc. **(1)**
The current ratio of 1.5:1 is a little low but the quick ratio is 1.3:1, which is above the accepted norm of 1:1. This would certainly indicate that Greenewear is able to meet its debts as they fall due. **(2)** It also suggests that Greenewear manages to keep its working capital tied up in stock to a minimum.

The issue for Lowry plc is which is best to buy: a more profitable company or a more liquid company. **(1)** The answer is dependant on Lowry's own position. As it currently does have a liquidity problem itself it would be advisable to buy a company that will help its own liquidity **(2)**. However, management should also look closely at its profitability figures at 6.2%.
Can this be improved upon, otherwise overall profitabilty **(1)** of the group could drop below Lowry's present figure of 13.32%, which would not be satisfactory.

My advice would be to purchase Greenewear.

Examiner's note: *A student could still be awarded all 10 marks for choosing either provided he/she showed an understanding of what the figures meant.*

Question 6. Published Accounts

(a) Published Profit & Loss Account of Woodland plc for year ended 31/12/2019 **(35)**

		Notes	€	Workings	
	Turnover **(1)**		1,335,000		**(1)**
**	Cost of Sales	*	(871,000)	A	**(4)**
	Gross Profit		**464,000**		
**	Distribution costs	*	(117,900)	A	**(4)**
**	Administrative expenses	*	(136,300)	A	**(7)**
**	Other Operating Income	*	34,000	D	**(2)**
	Operating Profit	2	**243,800**		
	Interest Receivable	*	8,000	B	**(2)**
	Profit on Sale of Land	*	15,000		**(2)**
	Interest Payable *	3	(20,000)	C	**(2)**
	Profit on Ordinary Activities before Taxation(1)		**246,800**		
	Taxation		(78,000)		**(3)**
	Profit on Ordinary Activities after Taxation		**168,800**		
	Dividends paid	4	(24,000)		**(3)**
	Retained Profit		**144,800**		
	Profit & Loss Balance 01/01/2019		50,000		**(3)**
	Profit & Loss Balance 31/12/2019		**194,800**		

* *Penalty of one mark if Distribution Costs shown after Administrative Expenses, if 'Profit on Sale of Land', Interest Receivable shown before Operating Profit or Interest Payable not shown last after Operating Profit*

** *Penalty of one mark each if Cost of Sales, Distribution Costs, Administrative Expenses and Other Operating Income not shown as individual figures.*

Maximum Penalty of –3 for above deductions.

Balance Sheet of Woodland plc as at 31/12/2019 **(30)**

		Notes	€	€	Workings	
Fixed Assets						
	Intangible Assets		30,000	***	E	**(2)**
	Tangible Assets	1 & 5	808,800		I	**(3)**
	Financial Assets		400,000	1,238,800		**(1)**
Current Assets						
	Stock	1	45,000			**(1)**
	Debtors		67,000		F	**(3)**
	Bank		224,000			**(1)**
			336,000			
Creditors: (amounts falling due within one year) (1)						
	Trade Creditors		50,000			**(1)**
	Other Creditors		69,000		G	**(4)**
	Taxation		129,000		H	**(3)**
			248,000			
Net Current Assets				88,000		
Total Assets less Current Liabilities				1,326,800		
FINANCED BY:						
Creditors (amounts falling due after one year)						
8% Debentures				250,000		**(2)**
Provision for Liabilities and Charges		-				**(2)**
Capital and Reserves						
	Called up share capital		650,000			**(2)**
****	Revaluation Reserve		232,000			**(3)**
	Revenue Reserves	**(1)**	194,800	1,076,800	I	
				1,326,800		

*** *Award no marks if 'Intangible Assets' are not shown first;*

**** *Penalty of one mark if Revaluation Reserve shown after Revenue Reserves.*

(b) Notes **25**

1. Accounting policy notes for tangible fixed assets and stock **(5)**

Tangible Fixed Assets: Buildings were revalued at the end of the year, and have been included in the accounts at their revalued amount**(1)**. Depreciation is calculated in order to write off the value or cost of tangible fixed assets over their estimated useful economic life **(1)**, as follows:

Buildings 2% per annum, straight line basis; **(1)**

Vans 15% per annum, reducing balance basis. **(1)**

Stocks: Stocks are valued on a first in first out basis at the lower of cost and net realisable value. **(1)**

2. Operating Profit **(6)**

Operating profit is arrived at after charging **(1)**:	€	
Depreciation	29,200	**(1)**
Patents amortized	15,000	**(1)**
Auditors' Fees	25,000	**(1)**
Directors' Fees	27,000	**(1)**
Legal Fees due	5,000	**(1)**

3. Interest Payable

Interest payable on debentures repayable by 2024 **(1)** is € 20,000 **(1)** **(2)**

4. Dividends **(4)**

			€	
Ordinary	Paid	2.4c	12,000	**(1+1)**
			€	
Preference	Paid	8c	12,000	**(1+1)**
			24,000	

5. Tangible Fixed Assets **(8)**

	Land		**Buildings**		**Vans**		**Total**
	€		€		€		€
Cost 01/01/2019	200,000		500,000	**(1)**	160,000	**(1)**	860,000
Disposal	(200,000)	**(1)**					(200,000)
Revaluation			200,000	**(1)**			200,000
Cost 31/12/2019	0		700,000		160,000		€860,000
Acc. deprec. 01/01/2019			22,000		32,000		54,000
P & L	**		10,000	**(1)** **	19,200	**(1)**	29,200
Disposal/Revaluation			(32,000)	**(1)**			(32,000)
Depr. at 31/12/2019	0		0		51,200		51,200
NBV 01/01/2019	200,000		478,000		128,000		606,000
NBV 31/12/2019	€0		700,000		108,800	**(1)**	808,800

*** Allow full marks if student's own figure is consistent with his/her previous work.*

(c) What is a Financial Reporting Standard? **(4+4)** **(8)**

A Standard is prepared by the regulatory authorities **(1)**. It is best practice**(1)** in accounting which allows accounts to be compared from year to year **(1)** and from company to company **(1)**.

and any one of the following for 4 marks

e.g. FRS 21 **(2)** Dividends declared after the Balance Sheet date should not be included in the Profit & Loss A/C nor included as Current Liabilities in the Balance Sheet **(1)**. Instead they should be disclosed only in the Notes **(1)** to the Accounts.

FRS 1 **(2)** – Determines that the layout of Cashflow statements should be in a prescribed manner **(2)**.

FRS 102 **(2)** – Stocks (inventories) shall be valued at the lower of cost and net realisable value **(2)**.
effective 01/01/2015

Workings

A.	**Allocation of Expenses**	**Cost of Sales**	**Distrib.**	**Admin.**	
	Opening Stock	51,000			
	Purchases	850,000			
	Closing Stock	–45,000			
	Patent Amortization	15,000			
	Distribution Costs		43,000		
	Administrative expenses			31,000	
	Wages		14,700	34,300	
	Advertising		41,000		
	Directors' Fees			27,000	
	Auditors' Fees			25,000	
	Depreciation: Buildings			10,000	
	Depreciation: Vans		19,200		
	Legal Fees			5,000	
	Patent Royalties error			4,000	
		871,000	117,900	136,300	
		(4 × 1)	**(4 × 1)**	**(7 × 1)**	
B.	**Interest Receivable**				
	Amount Received		4,000		**(1)**
	+ due		4,000	see F	**(1)**
	Receivable	400,000 × 2%	**8,000**	P & L	
C.	**Interest Payable**				
	Amount paid		8,000		**(1)**
	+ due		12,000	see G	**(1)**
	Payable	250,000 × 8%	20,000	P & L	
D.	**Other Operating Income**				
	Rental Income		30,000		**(1)**
	Patent Royalties (error)		4,000		**(1)**
	Total		34,000	P & L	
E.	**Patents Amortized**				
	Value @ 01/01/2019		45,000		**(1)**
	– amortization		– 15,000	P & L	**(1)**
			30,000	BS	
F.	**Debtors**				
	Debtors	79,000	**(1)**		
	– Bad Debt Provision	– 16,000	**(1)**	63,000	
	Investment Income due			4,000	**(1)**
				67,000	
G.	**Other Creditors**				
	Auditors' Fees due		25,000		**(1)**
	Directors' Fees due		27,000		**(1)**
	Legal Fees due		5,000		**(1)**
	Interest due		12,000		**(1)**
			69,000	BS	
H.	**Taxation due**:				
	VAT		16,000		**(1)**
	PAYE		35,000		**(1)**
	Corporation tax		78,000		**(1)**
			129,000	BS	

I. Revaluation of Buildings

Land & Buildings A/C

B/D	700,000	Disposal	200,000
Revaluation Reserve	200,000	C/D	700,000
	900,000		900,000
B/D	700,000		

Provision for Depreciation A/C

Revaluation Reserve	32,000	B/D	22,000
C/D	0	P & L	10,000
	32,000		32,000
		B/D	0

Disposal (Land) A/C

Land	200,000	Bank	215,000
Profit	15,000		
	215,000		215,000

Revaluation Reserve A/C

		Buildings	200,000	**(1)**
C/D	232,000	Depreciation	32,000	**(1)**
	232,000		232,000	
		B/D	232,000	

Motor Vans A/C

Balance B/D	160,000

Provision for Depreciation A/C

		Balance B/D	32,000
Balance C/D	51,200	P & L	19,200
	51,200		51,200
		Balance B/D	51,200

Tangible Fixed Assets:

Buildings		**(1)**	700,000
Motor Vans	160,000	**(1)**	
Accum Depreciation	– 51,200	**(1)**	108,800
			808,800

Question 7. Correction of Errors and Suspense Account

(a) **General Journal of John Lambe** **(50)**

		Dr (€)		CR(€)	
(i)	Purchases Returns A/C	1,100	**(3)**		
	Creditors A/C			5,800	**(3)**
	Suspense A/C	4,700	**(2)**		
(1)	*Being correction of purchases returns and subsequent restocking charge entered incorrectly*				
(ii)	Rent A/C	2,970	**(2)**		
	Rent prepaid A/C	1,980	**(2)**		
	Capital A/C			4,950	**(3)**
	Expenses due A/C	450	**(3)**		
	Bank A/C			450	**(3)**
(1)	*Being omission of rent paid by private cheque and of the expenses due which had been paid by business cheque.*				
(iii)	Equipment A/C	2,500	**(2)**		
	Purchases A/C			2,500	**(2)**
	Creditors A/C			5,000	**(2)**
	Suspense A/C	5,000	**(2)**		
(1)	*Being correction of equipment purchased on credit entered on wrong sides of incorrect accounts*				
(iv)	Drawings A/C	700	**(2)**		
	Discount Allowed A/C	40	**(2)**		
	Debtors A/C			740	**(2)**
(1)	*Being correction of omission of private debt offset against a business debt*				
(v)	Purchases A/C	3,000	**(3)**		
	VAT A/C	345	**(3)**		
	Creditors A/C			3,690	**(2)**
	Suspense A/C	345	**(2)**		
(1)	*Being correction of VAT figure for creditors and VAT exclusive figure for purchases entered on incorrect side*				

* *If students have correct accounts and amounts but on incorrect sides allow one mark each.*

(b) **Suspense A/C** **(8)**

			Original Difference	**(2)**	10,045
Creditors A/C (i)	**(2)**	4,700			
Purchases/Crs (iii)	**(2)**	5,000			
Creditors A/C (v)	**(2)**	345			
		10,045			10,045

(c) Statement of Correct Net Profit **(12)**

		€		€	
	Original Profit			56,000	**(1)**
	ADD:				
**	Purchases (iii)	2,500	**(2)**	2,500	
				58,500	
	LESS:				
**	Purchases Returns (i)	1,100	**(2)**		
**	Rent (ii)	2,970	**(2)**		
**	Discount Allowed (iv)	40	**(2)**		
**	Purchases (v)	3,000	**(2)**		
				(7,110)	
	Corrected Profit & Loss A/C			51,390	**(1)** ***

** *Allow marks for student's own figure if consistent with journal entries.*
** *If entries completely wrong but transferred correctly from journal award one mark for each entry.*
*** *Accept correct figure only.*

(d) Balance Sheet as at 31/12/2019 **(22)**

		€		€		€
Fixed Assets						
Premises				150,000	**(1)**	
Equipment	(+2,500) **			77,500	**(2)**	
Motor Vehicles				50,000	**(1)**	277,500
Current Assets						
Stock		55,290	**(1)**			
Debtors	(+10,045-740) **	87,805	**(2)**			
Cash		490	**(1)**			
Rent prepaid		1,980	**(2)**	145,565		
Creditors: (amounts falling due within 1 year)						
Creditors	(+5,800+5,000+3,690) **	53,240	**(3)**			
Bank	(+450) **	5,750	**(2)**			
VAT	(–345) **	11,755	**(2)**	(70,745)		
Working Capital						74,820
Total net assets						352,320
Financed By:						
Capital	(+4,950) **		**(2)**	329,950		
Net Profit	***		**(1)**	51,390		
				381,340		
Less Drawings (+700) **			**(2)**	(29,020)		352,320
Capital Employed						352,320

** *Allow full marks to students' own figures from journal if used consistently.*
*** *Accept student's own figure for Net Profit*

(e) (i) Errors of omission **(4)** **(8)**

This is where a transaction has been completely omitted from the books of original entry **(2)**, therefore nothing is posted to the ledger accounts and is not included in the Trial Balance.
These are easy to correct as one only needs to enter them as they should have been in the first place.
For example, purchases of goods for resale completely omitted from the books **(2)**.

(ii) Errors of principle **(4)**

This is where an item is posted to the correct side of an incorrect class of account**(2)**.
For example, purchasing a fixed asset on credit is entered in the purchases account instead of the fixed asset account**(2)**.

Workings

(i)

Purchases Returns A/C

		X	5,400
	1,100	S/B	4,300

Creditors A/C

X	5,400		
X	4,700		
S/B	4,300		5,800

(ii)

Capital A/C

			4,950

Rent A/C

	2,970		

Rent prepaid A/C

	1,980		

Expenses due A/C

	450		

Bank A/C

			450

(iii)

Purchases A/C

X	2,500		2,500

Creditors A/C

X	2,500	S/B	2,500
			5,000

Equipment A/C

	2,500		

(iv)

Debtors A/C

			740

Drawings A/C

	700		

Discount Allowed A/C

	40		

(v)

Creditors A/C

X	1,845	S/B	1,845
			3,690

Purchases A/C

S/B	1,500	X	1,500
	3,000		

VAT A/C

	345		

Question 8. Marginal Costing

Notes for Examiner

* *Accept student's own figure from previous calculations;*
* *Full marks for correct answer even if no workings shown;*
* *Accept student's own method, if different to that shown.*

Marginal Costing Statement

	€	€
Sales		630,000
– Variable Costs		(476,000)
Contribution		154,000
– Fixed Costs		(106,900)
Profit		**47,100**

Unit Contribution	€
Selling Price	18,00
Variable Cost p.u.	–13,60
Unit Contribution	**4,40**

Break-up of Costs

Cost	**Total** (€)	**FC**	**VC**	**VCpu**
Direct Materials	175,000	0	175,000	5.00
Direct Labour	234,500	0	234,500	6.70
Factory O/H's	59,500	11,900	47,600	1.36
Selling expenses	48,900	30,000	18,900	0.54
Administration expenses	65,000	65,000	0	0.00
	582,900	**106,900**	**476,000**	**13.60**

(a) **(15)**

Breakeven = $\frac{\text{Fixed Costs}}{\text{Unit Contribution}}$ = $\frac{106{,}900}{4.40}$ = 24,295.45 **(3)**

(10) **(3)** **(3)** i.e. 24,296 units **(1)**

Margin of Safety = Sales – B/E = 35,000 – 24,296

(5) **(2)** **(2)**

= 10,704 units **(1)**

(b) **Target Profit = 47,100 × 120% = 56,520** **(10)**

Units Req'd = $\frac{\text{Target Profit + Fixed Costs}}{\text{Unit Conttribution}}$ = $\frac{56{,}520 + 106{,}900}{4.40}$

(3) **(3)**

= 37,140.90 **(3)**

= 37,141 units **(1)**

(c) **Sales – Variable Costs – Fixed Costs = Profit** **(10)**

Selling Price = €16; FC = €117,590; VC = €13.54; Volume = 40,000 units.

16(40,000) – 117,590 – 13.54(40,000) = Profit **(4)**

Profit (Loss) = 640,000 – 117,590 – 541,600 **(3)**

> Loss = (€19,190) **(3)**

(VC per unit = 13.60 – .54 + .48) = 13.54

(d) **Let X = Selling price** **(10)**
Fixed costs = €122,935.

Sales – FC – VC = Profit
35,000X – 122,935 – 35,000(13.06 + 0.03(X)) = 47,100 **(3)**
35,000X – 122,935 – 457,100 – 1,050X = 47,100 **(2)**
33,950X = 47,100 + 122,935 + 457,100 **(2)**
33,950X = 627,135 **(2)**
X = 18.472, i.e € 18.47 **(1)**

(e) **S.P. = €20**; **VC = €13.66** **(10)**
let X = no. of units

20X – 106,900 – 13.66X = 10% (20X) **(3)**
6.34X – 2X = 106,900 **(3)**
4.34X = 106,900 **(3)**
X = 24,631.3 i.e. 24,632 units **(1)**

(f) FC = €156,900; VC = €11.10; Volume = 37,500 units. **(10)**
Unit contribution = 18 – 11.10 = 6.90

Marginal Costing Statement	€	
Sales (37,500 × 18)	675,000	**(1)**
– Variable Costs (37,500 × 11.10)	(416,250)	**(2)**
Contribution	258,750	
– Fixed Costs	(156,900)	**(2)**
Profit	101,850	**(1)**

Comment: (any 2 × 2) **(4)**
* Profit increases by €54,750;
* B/E decreases to 22,740 units (156,900/6.90), less risky;
* If variable cost per unit reduces by €2.50, any danger to product quality?

(g) (i) **What are the limitations (assumptions) of Marginal Costing?** **(10)**
(any 1 × 4m & any 2 × 3m)

1. It is assumed that the variable cost per unit remains the same regardless of output, which is not always the case.
2. It is assumed that the selling price per unit will remain the same. However sometimes a firm may have to offer discounts to attract new customers.
3. Fixed costs strictly speaking are to remain the same regardless of output. This would not always be the case, particularly if a firm had to rent a bigger warehouse if it was expanding.
4. It is assumed that all mixed costs are easily separated into fixed and variable. The high/low can be used for this purpose but it is not always possible to do so.
5. It is probably not a reasonable assumption to think that any firm can exist solely on the production of a single item.
6. It is assumed that all goods produced are sold and that there is no closing stock at the year end. This assumption is unlikely for most firms.

(ii) **Outline differences between Marginal costing and Absorption Costing** **(5)**
(any 1 × 3m, any other 1 × 2m)

1. They will always have different profit figures as Stock is valued differently;
2. Marginal costing does not include fixed costs when costing a product, Absorption costing does;
3. Absorption costing should be used when valuing stocks as it complies with FRS 102.

Question 9. Cash Budget

(a) Cash Budget March – August 2020 **(57)**

	Sales	*21,000*	*27,000*	*36,000*	*39,000*	*42,000*	*39,000*	*204,000*	
Receipts		**March**	**April**	**May**	**June**	**July**	**August**	**Total**	Mo×0.24
Sales	Cash	5,040	6,480	8,640	9,360	10,080	9,360	*48,960*	**(6×1)** M1×0.45
	Cr – 1 mth	-	9,450	12,150	16,200	17,550	18,900	*74,250*	**(5×1)** M2×0.3
	Cr – 2 mths	-	-	6,300	8100	10800	11,700	*36,900*	**(4×1)**
Loan	****	15,000						*15,000*	**(1)**
		20,040	15,930	27,090	33,660	38430	39,960	*175,110*	**(16)**
Payments	*Purchases*	*12,600*	*16,200*	*21,600*	*23,400*	*25,200*	*23,400*	*122,400*	
Purchases	Cr – 1 mth**	-	6,111	7,857	10,476	11,349	12,222	*48,015*	**(5×1)** M1×0.485
	Cr – 2 mths**	-	-	6,300	8,100	10,800	11,700	*36,900*	**(4 ×½)** M2×0.50
Wages		1,500	1,500	1,500	1,500	1,500	1,500	9,000	**(6×½)**
Variable O/H's **		350	450	600	650	700	650	*3,400*	**(6×1)**
Fixed O/H		3,850	3,850	3,850	3,850	3,850	3,850	*23,100*	**(6×½)**
Machine		20,000	-	-	-	-	-	*20,000*	**(1)**
Loan Instalment		-	300	300	300	300	300	*1,500*	**(5×1)**
Loan Interest		150	147	144	141	138	135	*855*	**(6×1)**
Bank Overdraft Interest			87	35	0	0	0	*122*	**(2×1)**
		25,850	12,445	20,586	25,017	28,637	30,357	*142,892*	**(33)**
Net Cash **		–5,810	3,485	6,504	8,643	9,793	9,603	*32,218*	**(6×1)**
**** Opening Cash		0	–5,810	–2,325	4,179	12,822	22,615	*0*	
Closing Cash		–5,810	–2,325	4,179	12,822	22,615	32,218	*32,218*	
		(1)					**(1)**		**(8)**

**** ****Loan receipt could also be entered after Net Cash figure*

**** **Alternative**

Net Cash **	–20,810	3,485	6,504	8,643	9,793	9,603	32,218
Bank Loan	15,000						
Opening Cash	0	–5,810	–2,325	4,179	12,822	22,615	0
Closing Cash	–5,810	–2,325	4,179	12,822	22,615	32,218	32,218

*** Accept own figure if consistent with previous work. Note: There is no marks for figures in 'Total' column*

(b) Budgeted Profit & Loss Account for 6 months ended 31/08/2020 **(13)**

		€	€	
Sales			204,000	**(1)**
– Cost of Sales				
Purchases	**	122,400		**(1)**
Cost of Sales			–122,400	
Gross Profit			81,600	
Other Income				
Discount Received			1,485	**(2)**
Total Income			83,085	
Expenses				
Wages		9,000 **(1)**		
Variable O/H	**	3,400 **(1)**		
Fixed O/H	**	23,100 **(1)**		
Depreciation on Machinery		900 **(1)**		
Discount Allowed		2,040 **(2)**		
Loan Interest		855 **(1)**		
Overdraft Interest		122 **(1)**	–39,417	
Net Profit		*	43,668	**(1)**

*** Accept own figure if consistent with previous work.*

** Accept correct figure only*

Note: Layout of P&L A/C can vary.

(c) **Trade Debtors @ 31/08/2020** **(4)**

July Sales:	42,000 × 0.75 × 0.4	12,600	**(1)**	
August Sales:	39,000 × 0.75	29,250	**(1)**	€ 41,850
Trade Creditors @ 31/08/2020				
July Purchases:	25,200 × 0.5	12,600	**(1)**	
August Purchases		23,400	**(1)**	€ 36,000

(d) **Factors to consider when launching a new product** **(6)**

(any 3 × 2 marks)

> **Market Research**, finding out from sources if there is a demand for a robotic lawnmower;

> **Price**, finding out if customers would be prepared to pay €3,000 for a product such as this and how this price compares with ride-on mowers;

> **Performance**, how has the mower performed in other parts of the country or in other countries;

> **After-Sales Service/Assurance**, what level of after-sales service will need to be offered on such mowers and how long of a guarantee can be given.

Any other logical statement(s) will also gain the marks.
No marks awarded for reference to previous years' figures or competitors (not relevant)

Workings:

Sales:	March (cash) = 21,000 × 25% × 96% =	5,040	
March	(rec'd in April) = 21,000 × 75% × 60% =	9,450	
March	(rec'd in May) = 21,000 × 75% × 40% =	6,300	etc. etc.
Purchases:	March (paid in April) = 12,600 × 50% 97% =	6,111	
	March (paid in May) = 12,600 × 50% =	6,300	etc. etc.
Variable Overheads:	March = 21,000/3,000 = 7 × 50 =	350	
	April = 27,000/3,000 = 9 × 50 =	450	etc. etc.

Fixed Overheads:

Depreciation = 20,000 – 2,000 = 18,000/10 = 1,800 per annum
= 150 per month
March = 4,000 – 150 = 3,850 etc.

Loan Interest:

April = 15,000 × 12%/12 months =	150	
May = (15,000 – 300) × 12%/12 months	147	etc. etc.

Bank Overdraft Interest:

April = 5,810 × 1.5% = 87.15 =	87	
May = 2325 × 1.5% = 34.875 =	35	

Discount Received:	(122,400 – 23,400) × 50% × 3% =	1,485
Discount Allowed:	204,000 × 25% × 4% =	2,040